



Improving the Business

Even if your business is currently performing well, you can never assume that it will continue to do so. To remain competitive, it is important to regularly improve your processes to ensure you are offering what your customers expect.

Reviewing your business

Many small business owners spend much of their time dealing with unexpected problems, such as customer complaints, quality issues, and late deliveries. As a result, they have less time to spend on planning and growing their businesses. The best way to avoid this is by streamlining your processes (see pp.178–179), and improving performance (see below).

Improving business performance involves looking at your operations and processes, and identifying ways in which they could function better. You can do this slowly and incrementally over a period of time, by analysing each stage and activity in your business to determine how it could be done more effectively and efficiently.

Another way to make improvements is through “step change”. This means rethinking your business, and making bold and rapid changes. For example, you may scrap entire products or services from your range, or decide to outsource activities currently performed inhouse. (see pp.50–51). However, the safest way is to improve and change your business slowly and methodically over time.

Improving your business should be continuous, not a one-off exercise. Invite your staff to be part of the process, so that they are prepared for change (see pp.204–205). You should create a culture in which everyone observes what is happening and feels able to make suggestions for how things could work better.

Improving performance

It is essential to review your business processes regularly, to ensure that everything is working well. One way of improving performance is by using the “Sand Cone” model. Although this approach was devised for manufacturing, it can be applied to services, too. The model divides the capabilities of a business into a hierarchy of priorities: quality, speed, flexibility, and cost. For optimal performance, the model suggests that you begin with quality; move on to speed; then improve flexibility; and finally look at cost. If you use this method, remember to be patient—you need to believe that your costs will decrease in time.

1. Quality

Quality comes first. Unless you deliver quality products and services first time, every time, you risk upsetting customers and clients, and wasting money. Getting it right first time means there is no rework and there is consistency in delivery time, so your processes are reliable.

2. Speed

Reliable processes are costly, so you need to look at how to run them faster. Doing things quickly reduces costs, but quality can suffer, so work on delivering quality quickly. Can you speed up delivery, for example, by using new technology?